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VEN AFTER INDIAN WOMEN won the right to vote in 1950, and then gradually started entering the formal workforce in increasing numbers, corporate leadership circles remained almost entirely male. At present, 21% of board seats are held by women, up from barely 6% in

2013, according to a report by Khaitan & Co, Aon, LML and Arise titled *Presence to Influence: Advancing Women in Indian Boardrooms*. This feels like overdue progress. However, when compared with the 30–40% representation in countries such as France, Norway, and Belgium that implemented mandatory gender quotas, the pace of India's progress in terms of gender diversity in boardrooms appears more modest.

The first big push for change in India was the Companies Act of 2013, which mandated the appointment of women directors on boards of companies in specified categories. Section 149(1) said every listed company and certain classes of public companies (those with a paid-up capital of ₹100 crore or a turnover of ₹300 crore or more) must appoint at least one woman director on their boards.

The decision to make boards more gender-diverse could well have been triggered by what was happening in the rest of the world. Take the case of Norway, which mandated a 40% quota for women on corporate boards in 2003. Many countries, including Spain, Finland, Iceland, France, Israel, Italy, Belgium, Germany and Austria, followed that up with their own mandates.

That begs the question, how gender diverse have Indian company boards really become?

SLOW AND STEADY

In every sense, India is a different terrain. It has a well-entrenched culture of promoter-driven companies of multiple sizes across regions, multinationals, public sector undertakings and a large number of emerging players. The report cited analysed the BSE 200 group of companies at the end of FY24 and found 18.5% women representation on boards. Again, 98% of that universe had at least one woman director, 59% had two or more, and 22% had three or more.

Before the Companies Act 2013, there were many reasons for the limited representation. "People prefer to work with those who are like themselves. Till you equalise that balance, you will need to push this through regulations," says Apurva Purohit, Co-founder of food products firm Aazol and an independent director on various boards like those of LTIM-indtree, L&T Technology Services.

To Purohit, the issue is not the size of the company. "It comes down to high governance standards. Personally, I am a lot more comfortable with more than one woman on company boards since voices become that much stronger," she says. For companies, it is an evolving situation, and they would have to recognise the benefits of having more women directors. According to her, many of them start with one woman for diversity.



Driving Diversity

- 1 **The turning point was when the Companies Act 2013 mandated the appointment of women directors in specified company categories**
- 2 **Countries like Norway mandated a 40% quota for women on corporate boards**
- 3 **A big challenge is the limited pool of experienced women directors, leading to many being on multiple boards**
- 4 **It is acknowledged that women help in improving some parameters**